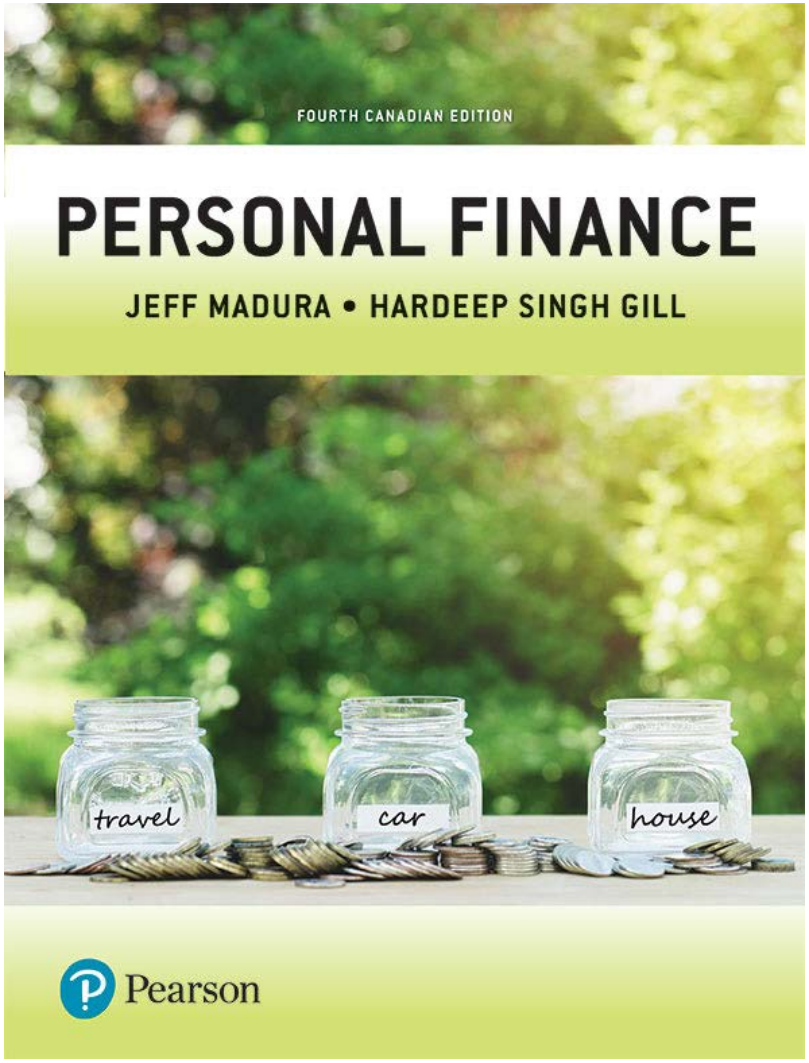
Personal Finance

Fourth Canadian Edition



Chapter 5

Banking Services and
Managing Your Money

Copyright © 2019 Pearson Canada Inc.

Liquidity

- your access to ready cash (savings and credit) to cover short-term and unexpected expenses
- sources : positive net cash flows from the personal cash flow statement and/or credit cards and/or lines of credit
  - interest rate on a line of credit is usually much lower than credit card interest rates (more info in Ch. 6)
- emergency funds (savings in short-term, conservative investments. Allows you to avoid interest charges altogether when liquidity issues arise)
  - rule of thumb: have between three and six months' worth of expenses in an emergency fund (ties to your ideal liquidity ratio)

Copyright © 2019 Pearson Canada Inc.

Depository Institutions-Chartered Banks

- accept deposits and use the funds to provide business and personal loans- CDIC insured
- Schedule I banks: domestic banks (e.g., Royal Bank of Canada, Scotiabank, CIBC)
- Schedule II banks: foreign banks that have subsidiaries operating in Canada (e.g., ING Bank of Canada)
- Schedule III banks: subsidiaries of foreign banks that are restricted in their authority to accept deposits (e.g., Citibank)

Copyright © 2019 Pearson Canada Inc.

Trust and Loan Companies

- financial institutions that, in addition to providing services similar to a bank, can provide financial planning services, such as administering estates and acting as trustee in the administration of trust accounts (e.g. RBC Estate and Trust Services)

Copyright © 2019 Pearson Canada Inc.

Credit Unions and Caisses Populaires

- provincially incorporated co-operative financial institutions that are owned and controlled by their members
  - created to serve the financial needs of groups that share a common bond (e.g. residential, religious)
  - accounts are eligible for deposit insurance protection through provincial deposit insurance agencies
  - do not operate outside provincial boundaries

Copyright © 2019 Pearson Canada Inc.

Savings Alternatives Offered By Financial Institutions (1 of 2)

- Tax-Free Savings Account (TFSA) (more info in Ch. 14)
  - a registered investment account that allows you to purchase investments with after-tax dollars, without attracting any tax payable on your investment growth
  - withdrawals are tax-free
  - contribution room can be carried forward to subsequent years
  - withdrawals can be recontributed in subsequent years

Copyright © 2019 Pearson Canada Inc.

Savings Alternatives Offered By Financial Institutions (2 of 2)

- Savings Deposits
  - pay interest on deposits
  - funds can normally be withdrawn at any time
- Term Deposits
  - offered as short-term or long-term investments
  - offer slightly higher returns than savings deposits, but lower returns than GICs because they are cashable

Copyright © 2019 Pearson Canada Inc.

Chequing Accounts vs. Savings Accounts

Exhibit 5.5 Comparison between Chequing Accounts and Savings Accounts

Chequing Accounts	Savings Accounts
• Designed for everyday transactions	• Designed for saving money
• Usually no restriction on number of transactions	• May limit number of transactions per month
• Pay little or no interest	• Pay a relatively higher amount of interest, especially if you maintain a large balance
• Debit card or cheques are included	• Debit cards and cheques may not be included
• Basic services are usually offered at no fee	• Basic services may include a fee
• A limited number of transfer of funds between accounts may be free	• Usually all transfer of funds between accounts have a fee
• Transfer of funds is usually not delayed	• Transfer of funds may be delayed

Copyright © 2019 Pearson Canada Inc.

Guaranteed Investment Certificates (GICs)

- savings alternative that is an instrument issued by a depository institution that specifies a minimum investment, an interest rate, and a maturity date
  - a penalty is imposed for early withdrawal
  - covered, within limits, by the CDIC

Copyright © 2019 Pearson Canada Inc.

GIC Characteristics

- Return- interest earned is based on the annualized interest rate and the amount of time until maturity
- Liquidity
  - cashable GICs allow for early withdrawal
  - cashable GICs do not offer the same interest rate as a regular GIC
- Choice among GIC maturities- GICs with longer terms to maturity typically offer higher annualized interest rates

Copyright © 2019 Pearson Canada Inc.

Focus on Ethics: Risky Deposits

- while GICs with especially high deposit rates sound appealing, they probably carry greater risk
- ask if they are insured by the CDIC
- if an investment sounds too good to be true, it probably is!

Copyright © 2019 Pearson Canada Inc.